India's electric commercial vehicle market

E-buses and e-LCVs: who is winning, why, and what happens next



Switch led India's e-bus market with 28.2% share. It won zero buses in the country's biggest e-bus tender. Here's what that tells us.

23,540

e-CVs sold, Jan–Aug 2026
+155% year on year

28.2%

Switch e-bus share, H1 2026
Tata fell to 2.4%

5.91%

EV share of LCV sales
Doubled in 12 months

14,028

e-buses funded by PM E-DRIVE
₹4,391 crore

Christopher S Product & Business Analysis

Electric CVs are having their breakout year

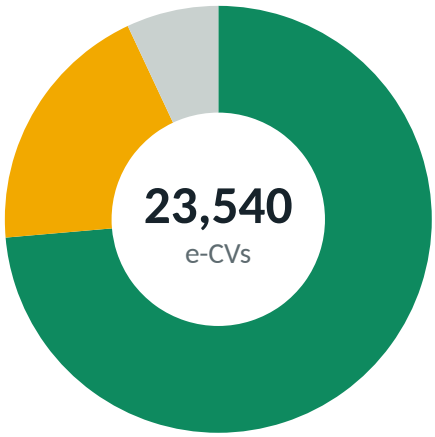
Retail registrations, January to August 2026

23,540
e-CVs sold
Above all of 2025

₹97.83
Diesel per litre
Up from ₹87.67

40–42k
Expected in 2026
About 2.5x 2025

Goods carriers now drive the market



73% Light goods carriers
17,292 units · +202% YoY

19% Electric buses
4,556 units · +43% YoY

7% Heavy goods carriers
1,637 units · +618% YoY

Bus share of e-CVs fell from 35% to 19% even though bus volumes grew 43%. Light goods carriers added 11,566 of the extra units sold this year.

Source: Autocar Professional analysis of Vahan data, 14 Sep 2026

E-buses and e-LCVs look alike, but are sold very differently

E-buses

4,556 units · +43%

BUYER
Cities and state transport undertakings

HOW IT'S BOUGHT
Leased per km for 10–12 years (GCC)

CENTRAL SUBSIDY
Yes: ₹20–35 lakh per bus

WHO WINS
Lowest per-km bid plus delivery capacity

2026 LEADERS
Switch, JBM, PMI

E-LCVs

17,292 units · +202%

BUYER
Fleet owners, logistics firms, owner-drivers

HOW IT'S BOUGHT
Bought or leased, with retail finance

CENTRAL SUBSIDY
None below 3.5 tonnes

WHO WINS
Lowest total cost, best finance and dealers

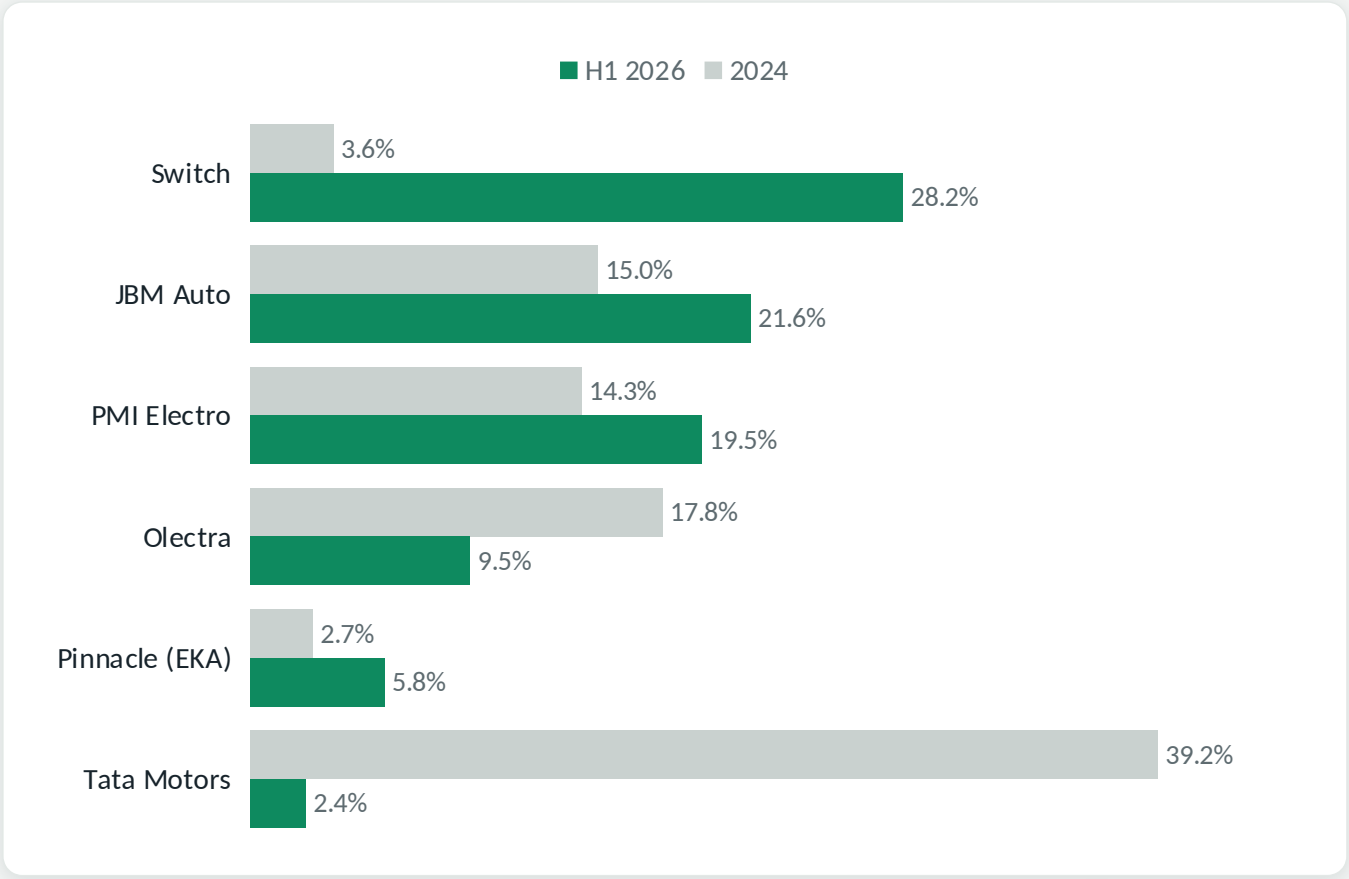
2026 LEADERS
Tata, Euler, Mahindra

One market is won in **tender rooms**. The other is won at **dealerships and lenders**.

Source: case analysis; PM E-DRIVE operational guidelines (MHI)

E-bus leadership has flipped in two years

Share of India e-bus registrations by maker, 2024 vs H1 2026



Switch: 3.6% → 28.2%
Delivering orders won in 2023–24, incl. a 950-bus contract

Tata: 39.2% → 2.4%
Stepped back from aggressive tender bids over contract and payment terms

Source: Sustainable Bus analysis of Vahan data (6 Jul 2026). JBM group incl. JBM EV = 27.3% in H1 2026

Cities don't buy e-buses. They pay per kilometre.

The Gross Cost Contract (GCC) model

OEM buys the bus
plus chargers and depot

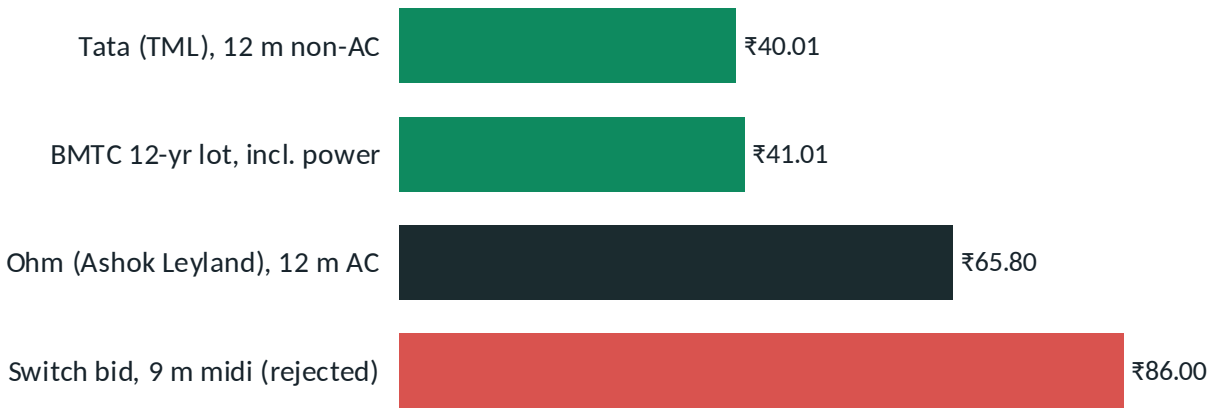
→

Runs it 10–12 years
maintenance, energy, uptime

→

City pays per km
and keeps the fares

What Bengaluru pays per km (₹)



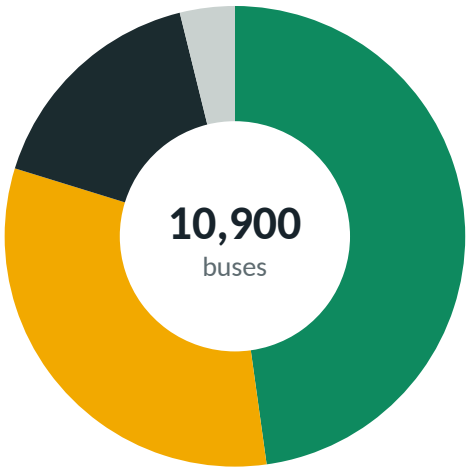
The winner runs the **lowest cost per km**: uptime, cheap capital and depot design matter more than the bus price.

Source: Deccan Herald reporting on BMTC (Bengaluru) e-bus contracts and tenders

PMI and EKA won 80% of India's largest e-bus tender

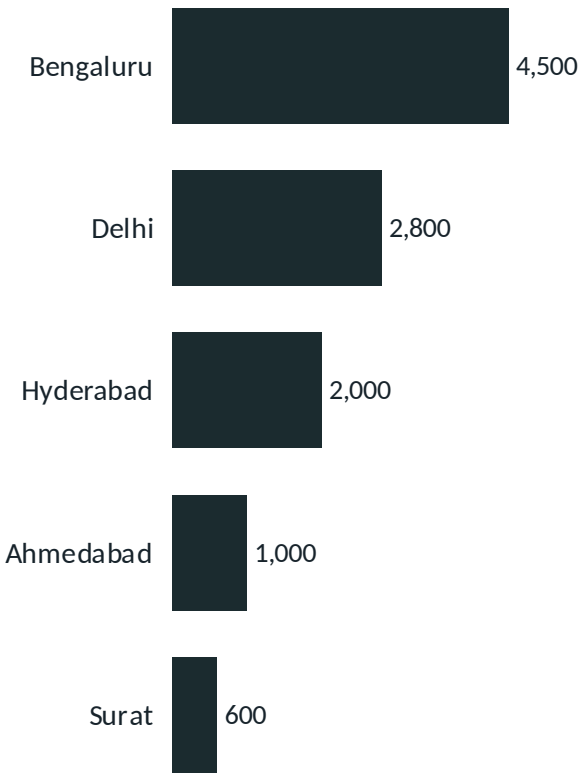
CESL tender for 10,900 e-buses under PM E-DRIVE

Buses won



- **48%** PMI Electro · 5,210
- **32%** EKA Mobility · 3,485
- **16%** Olectra · 1,785
- **4%** Anthony Travels · 420

Buses by city

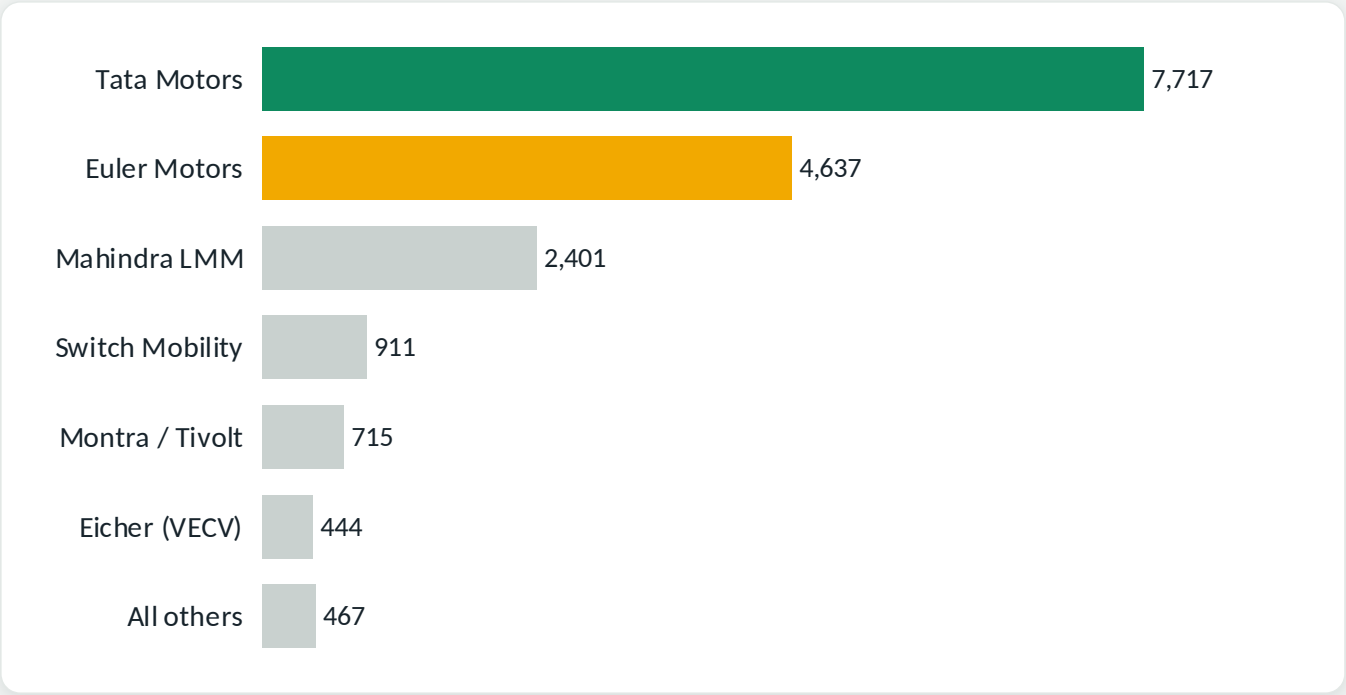


Today's leaders won nothing. Switch, JBM, Tata and VECV got no allocation. Expect 2027–28 registrations to shift toward PMI and EKA.

Sources: Electronics For You (results); Construction World (city split); CESL tender documents

Tata and Euler sold 71% of India's e-LCVs

Retail units, Jan–Aug 2026 (17,292 total, +202%)



Why e-LCVs grow with no central subsidy

Running cost
₹1.5–2/km electric vs ₹8–10/km diesel

Fixed routes
80–120 km a day fits a 120–160 km range

Anchor fleets
Flipkart, Amazon, Swiggy go electric

Price parity
Ace Pro EV at about ₹6.5 lakh

Source: Autocar Professional (14 Sep 2026); TrucksBuses running-cost estimates

Swipe →

Three price tiers are forming in e-LCVs

Indicative ex-showroom prices, Delhi, 2026

Entry

₹6–8.5 lakh

Price-led; competes head-on with CNG and diesel mini-trucks

- Tata Ace Pro EV
- Euler Turbo EV 1000
- Mahindra Zeo

Mid

₹9–13 lakh

Range and payload: 21–50 kWh batteries, 140–300 km

- Tata Ace EV / EV 1000
- Euler Storm EV
- Montra Eviator

Upper

2–3.5 tonne

Heavier loads, cold chain and special bodies

- Switch IeV3 / IeV4 Reefer
- Eicher Pro X EV

Tata and Euler fight on **price**. Montra and Switch fight on **payload and range**. The upper tier is still open.

Source: dealer-portal listings (CarDekho Trucks, TractorJunction), Delhi, 2026; prices vary by variant and city

An entry e-LCV pays back its premium in about a year

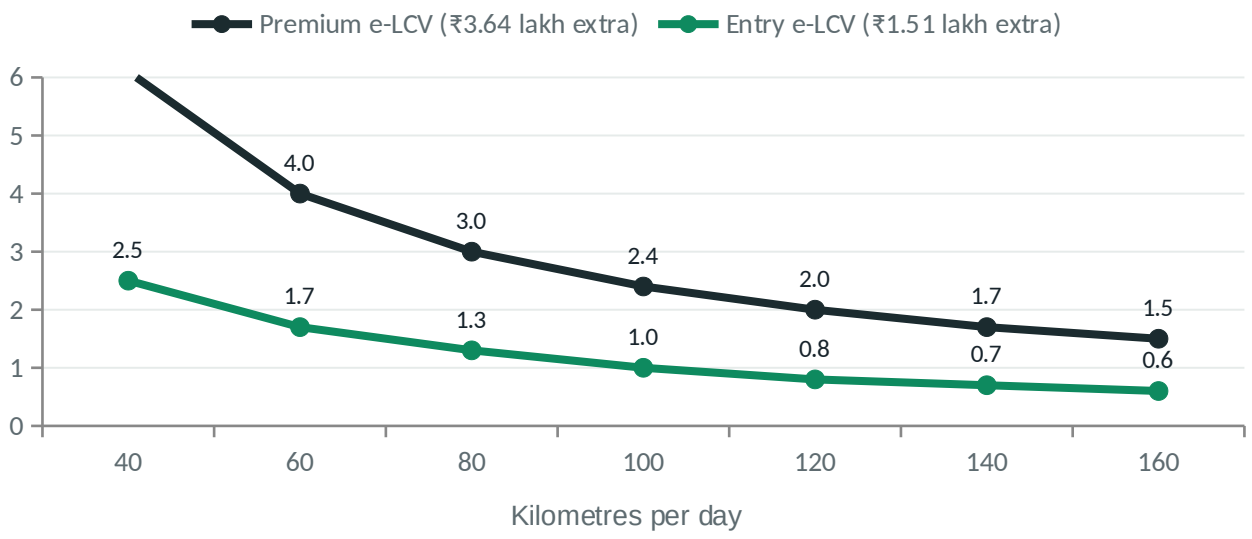
Payback on the EV price premium, 300 working days a year

₹6.5/km
Diesel energy cost
₹97.83/l at 15 km/l

₹1.5/km
Electric energy cost
Depot charging

₹1.5 lakh
Saved per year
At 100 km a day

Payback (years) by kilometres driven per day

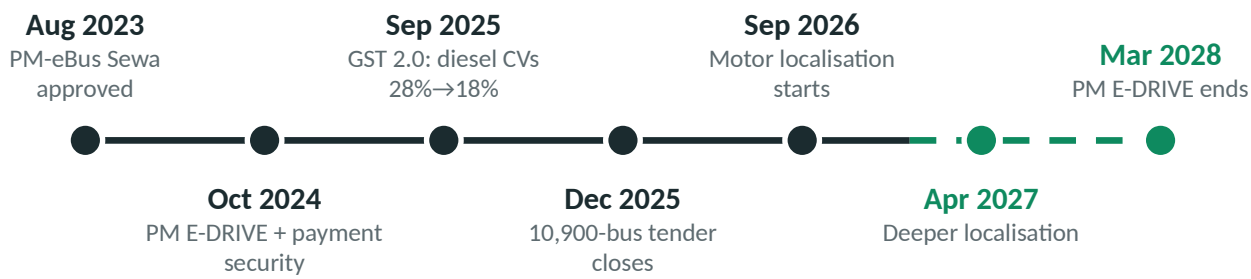


Daily kilometres decide everything. At 100 km/day: ~1.0 year (entry) and ~2.4 years (premium). At 60 km/day: 1.7 and 4 years.

Source: author's illustrative model; prices from dealer listings; excludes finance, maintenance and resale

Policy is shifting to localisation and payment security

E-LCVs under 3.5 tonnes get no central purchase subsidy, only 5% GST



Solid: done **Dashed: still ahead (today = Oct 2026)**

PM E-DRIVE

₹4,391 cr

14,028 e-buses in 9 big cities; ₹20–35 lakh per bus

PM-eBus Sewa

₹57,613 cr

10,000 e-buses in smaller cities on 10-year contracts

Payment security

₹3,435 cr

Pays operators if a city defaults; state guarantee

GST 2.0

5% vs 18%

EVs vs diesel CVs; gap narrowed from 23 to 13 points

Sources: Ministry of Heavy Industries, MoHUA, GST Council, CESL notifications and guidelines

Swipe →

Who is strong where

Ten companies matter; only Switch and Tata play seriously in both segments

Tata Motors
e-LCV · e-bus

33% of e-CVs
Widest e-LCV range; left bus tenders

Euler Motors
e-LCV

20% of e-CVs
+1,305% growth; price and leasing-led

Switch Mobility
e-bus · e-LCV

28.2% e-bus share
First profit in FY26; thin order book

JBM group
e-bus

27.3% e-bus share
10,000+ order book; ₹750 cr raised

PMI Electro
e-bus

5,210 tender buses
Lowest-cost bidder; must scale 5x

Olectra
e-bus · tipper

₹2,312 cr revenue
8,500+ order book; slow conversion

EKA Mobility
e-bus · e-LCV

3,485 tender buses
Partner model with Chartered Speed

Mahindra LMM
e-LCV

14% of e-LCVs
One model (Zeo); losing share

Montra Electric
e-LCV · e-truck

715 units, +686%
Range options from 32 to 50 kWh

Eicher (VECV)
e-LCV · e-bus

589 e-CVs
Upper-LCV brand; premium price

Sources: company results and interviews; Vahan-based analyses (Sustainable Bus, Autocar Professional)

Profitable, leading, and short of pipeline

Ashok Leyland's EV arm, FY26 (April 2025 – March 2026)

~₹1,800 cr
FY26 revenue

1,530
e-buses delivered

1,600
e-LCVs delivered

~98%
Fleet uptime

What's working

- Narrow product set: two bus platforms, two e-LCVs
- 60–70% localisation
- High uptime protects per-km earnings
- First net profit in FY26

What's at risk

- ~1,600-bus order book vs 10,000+ at JBM
- No allocation in the 10,900-bus tender
- ₹86/km midi bid rejected as too high
- About 5% of the e-LCV segment

Next move: refill the pipeline via PM-eBus Sewa, state tenders and private fleets; bring cost per km down.

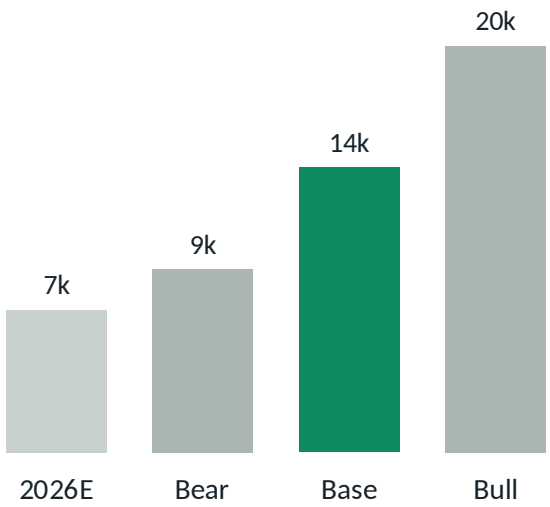
Sources: EVreporter interview with CEO Ganesh Mani; BusinessLine (18 Jun 2026); Deccan Herald

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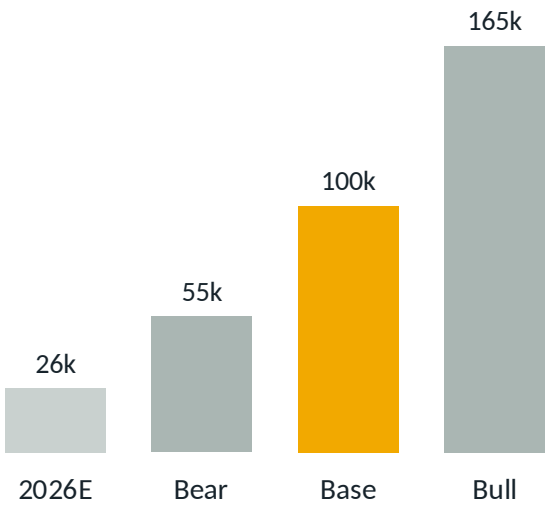
Base case: ~14,000 e-buses and ~100,000 e-LCVs a year

Author's scenarios for 2030 versus the 2026 estimate

E-bus registrations per year



E-LCV sales per year



Swing factors to watch

After March 2028
What replaces PM E-DRIVE for buses

Magnets and batteries
Rare-earth supply and LFP cell prices

Diesel prices
Below $75 Brent slows owner-drivers

Fleet finance
Lower rates and resale guarantees

Author's scenarios: e-LCV share of ~650k LCVs a year at 8% / 15% / 25%; ~21k e-buses already in central schemes

Swipe →

What the winners will do by 2030

E-bus makers

- Compete on cost per km: uptime, energy, depot design
- Build a financing and operating arm, or partner for one
- Localise motors before April 2027

E-LCV makers

- Price within ~₹1.5 lakh of CNG and diesel
- Partner with lenders; guarantee resale
- Build a second and third model

For policymakers: plan the post-2028 bus programme now. Tender pipelines need 18–24 months' notice.

Source: case analysis



What am I missing?

I'd especially like to hear from fleet operators, transit agencies and people building EVs in India.

Next step
Validating these findings with fleet owners, lenders and transit officials

Full case study
20 pages, 7 exhibits and all sources in my Featured section

Christopher S
Product & Business Analysis
Follow for more market and product case studies

Data: Vahan-based analyses (Sustainable Bus, Autocar Professional, EVreporter), Ministry of Heavy Industries, MoHUA, CESL and company filings. As of October 2026.